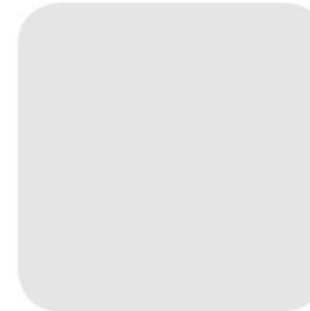
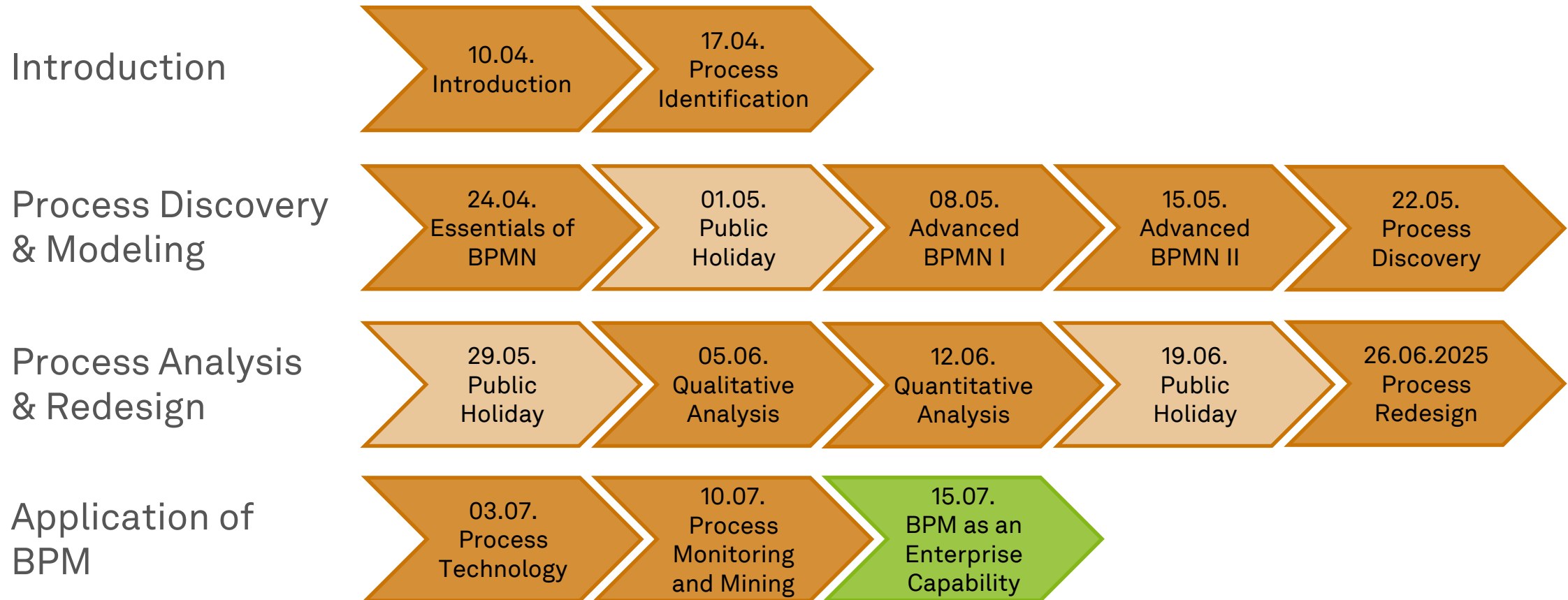


Business Process Management

BPM as an Enterprise Capability



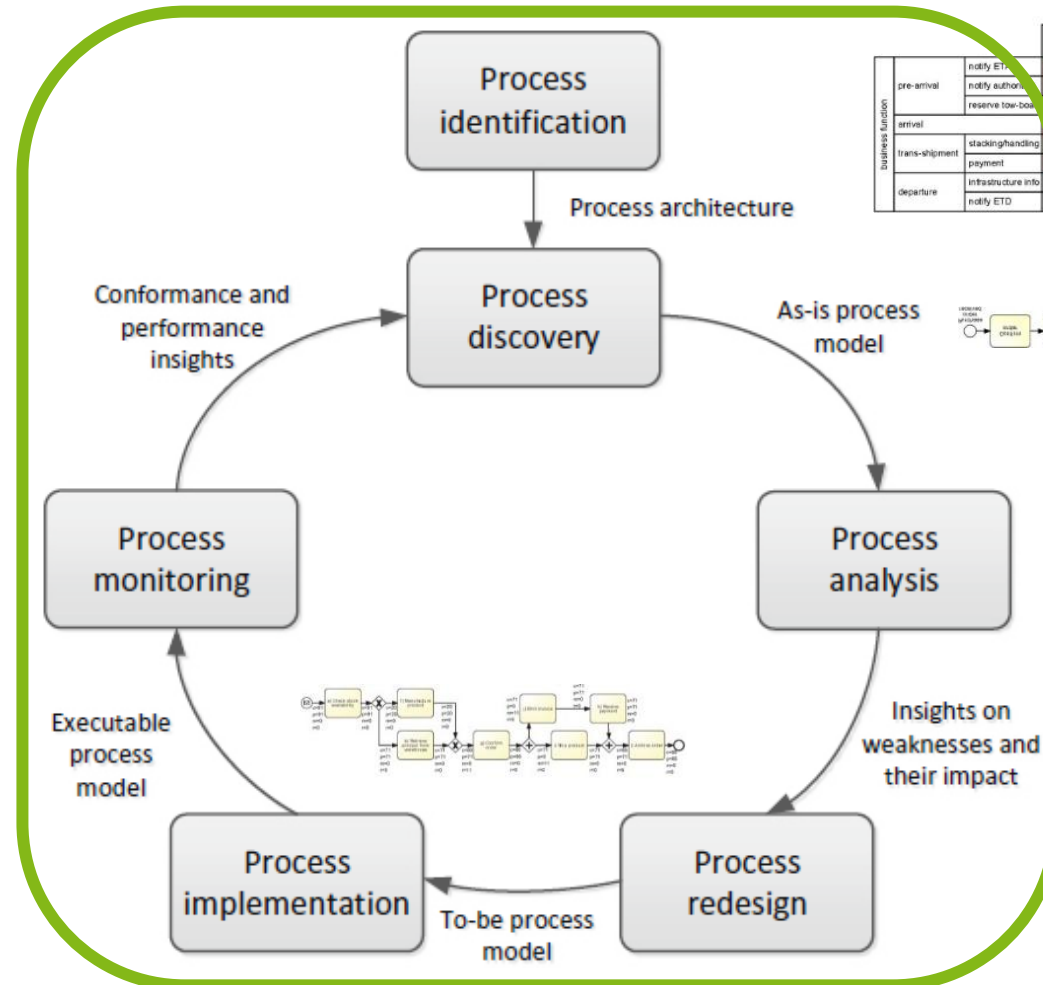
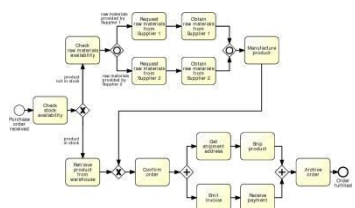
Roadmap



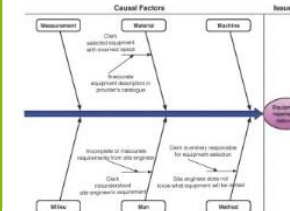
Learning Goals of Today

- Understand that BPM success is multifaceted
- Understand the factors of the Six Core Elements of BPM
- Understand (BPM) maturity models and assessment

The BPM Lifecycle



		case type			
		Sea	Road	Rail	Inland
business function	pre-arrival	notify ETA notify authorities reserve tow boat	Inbound Planning		
	arrival		Inbound Handling		
	trans-shipment	stacking/handling payment		Outbound Handling	
departure	infrastructure info				
	notify ETD				



BPM Success

- We discussed
 - a range of methods and related techniques
 - software tools and systems
 - measurement of BPM projects
- **BPM projects still fail!**
- **What does it take to successfully manage a BPM program?**

Common Reasons for Failure of BPM Programs

- Sole focus on BPM methods and tools, **not on business goals**
 - BPM is a means to an end, not an end in itself
- Belief that BPM is the **single source of truth**
 - BPM needs to be aligned with other management concepts
- BPM projects that are managed as **isolated silos**
 - BPM is a holistic management concept that looks at activities, people, and technology
 - Different BPM projects should not be managed in isolation
- Overall **inability to change**
 - Transferring a great to-be model into an operational business process requires not only software but strategic alignment, change management, and consideration of company culture

Maturity Models and the Six Core Elements of BPM



BPM Requires a Robust Frame of Operation

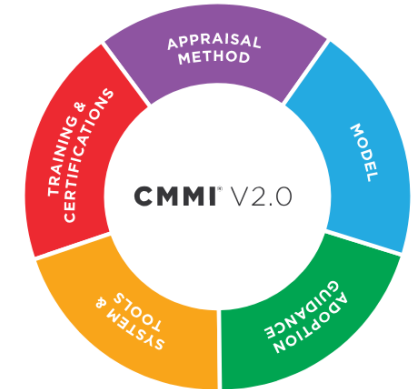
- **Project and program management**
 - Manages scope and flavors in different areas of an organization by safeguarding
 - required competencies
 - suitable BPM approaches
 - BPM tailoring
- **Complexity management**
 - BPM is holistic and comprehensive by nature and needs decomposition
- **Standards management**
- **Strategy management**

Generic Maturity Models

- **Set of structured levels** describing how well the behaviors, practices and processes of an organization can **reliably and sustainably produce required outcomes** (e.g., quality, effectiveness)
- Can be a benchmark for comparison and an aid to understanding as well as a means to continuous improvement
- Maturity models typically contain
 - **Maturity levels**
 - Key processes
 - Goals or targets
- There is a wide variety of maturity models, most build on the **Capability Maturity Model Integration (CMMI)** staged maturity levels

CMMI Levels of Capability and Performance

<i>Level</i>	<i>Continuous Representation Capability Levels</i>	<i>Staged Representation Maturity Levels</i>
Level 0	Incomplete	
Level 1	Performed	Initial
Level 2	Managed	Managed
Level 3	Defined	Defined
Level 4		Quantitatively Managed
Level 5		Optimizing



BPM Maturity Model

- **BPM Maturity Model**
 - Addresses the requirements and complexities identified within Business Process Management
- **Focus**
 - Corporate business processes
- **Scope**
 - Organizational entity and time
- **Multi-dimensional model**

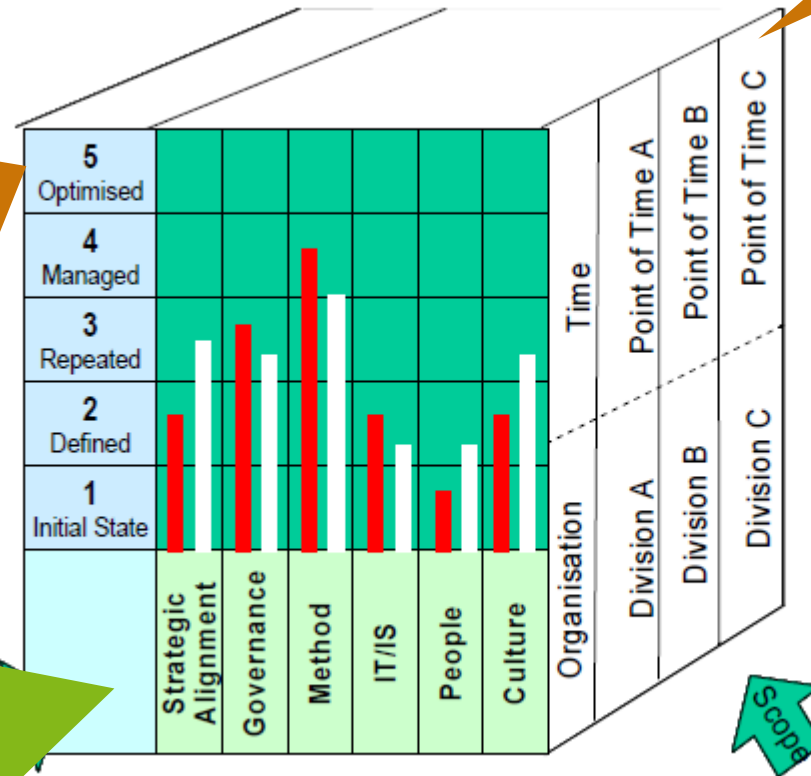
BPM Maturity Model

Maturity Stage

- Pre-defined maturity stage ranging from 1 (low) to 5 (high)

Factor

- Specific, measurable and independent element, which reflects a fundamental and distinct characteristic of BPM



Scope – Time

- The point in time at which the model is applied

Coverage

- Extent to which BPM practices extend through the organizational entity

Key

- Coverage (Red bar)
- Proficiency (White bar)

Proficiency

- Perceived goodness of BPM practices in the organizational entity

Scope – Organizational Entity

- Organizational entity which defines the unit of analysis and to which the model is being applied, e.g., a division, a business unit, a subsidiary

Six Core Elements of BPM – Overview

Strategic Alignment	Governance	Methods	Information Technology	People	Culture	Factors
Process Improvement Planning	Process Management Decision Making	Process Design & Modelling	Process Design & Modelling	Process Skills & Expertise	Responsiveness to Process Change	Capability Areas
Strategy & Process Capability Linkage	Process Roles and Responsibilities	Process Implementation & Execution	Process Implementation & Execution	Process Management Knowledge	Process Values & Beliefs	
Enterprise Process Architecture	Process Metrics & Performance Linkage	Process Monitoring & Control	Process Monitoring & Control	Process Education	Process Attitudes & Behaviors	
Process Measures	Process Related Standards	Process Improvement & Innovation	Process Improvement & Innovation	Process Collaboration	Leadership Attention to Process	
Process Customers & Stakeholders	Process Management Compliance	Process Program & Project Management	Process Program & Project Management	Process Management Leaders	Process Management Social Networks	

The models has six factors representing a **critical success factor** each

Each factor has five capability areas as a further level of detail

Rosemann & vom Brocke (2015)

Six Core Elements of BPM – Factors (1)

- **Strategic Alignment**

- BPM contributes to the organization's **superordinate, strategic goals**
- Related capabilities include
 - the **assessment** of processes and process management initiatives according to their **fit** with the overall corporate **strategy**

- **Governance**

- BPM must be implemented in the **organizational structure**
- Related capabilities include
 - the assignment of BPM-related tasks to **stakeholders** and applying specific **principles and rules** to define the required **responsibilities and controls** along the entire business-process lifecycle

Six Core Elements of BPM – Factors (2)

- **Methods**

- BPM must be supported by methods for **process design, analysis, implementation, execution, and monitoring**
- Related capabilities include
 - **selecting** the appropriate BPM methods, tools, and techniques and **adapting** and combining them according to the organization's **requirements**

- **Information Technology**

- BPM must use technology, particularly **process-aware information systems (PAIS)**, as the basis for process design and implementation
- Related capabilities include
 - the ability to select, implement, and use relevant **PAIS** that cover, e.g., workflow management or process mining solutions

Rosemann & vom Brocke (2015), Dumas et al. (2018), vom Brocke & Mendling (2018)

Six Core Elements of BPM – Factors (3)

- **People**

- BPM must consider **employees' qualifications** in the discipline of BPM and their **expertise** with relevant business processes
- Related capabilities include
 - assessing the **human-resources impact** of BPM initiatives and programs that facilitate the development of **process-related skills** throughout the organization

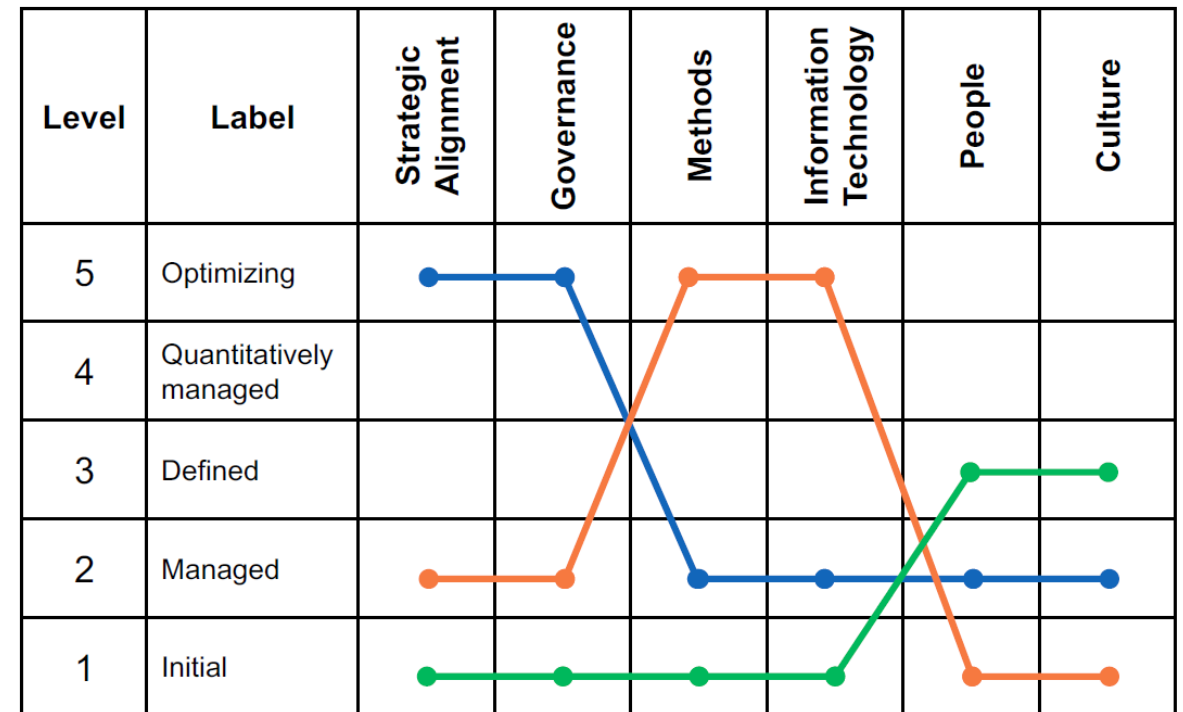
- **Culture**

- BPM must be met with a **common value system** that supports process improvement and innovation
- Related capabilities include
 - the ability to **assess** the organizational **culture's values** and the ability to derive measures to **develop** these values accordingly

Rosemann & vom Brocke (2015), Dumas et al. (2018), vom Brocke & Mendling (2018)

Patterns of BPM Maturity

- **Blue**
 - Typical for top-down-driven BPM organizations with executive support, sponsored by CFO/CEO
- **Orange**
 - Typical for IT-driven organization, sponsored by CIO
- **Green**
 - Typical for organizations affected by rules-based governance and heavy unionization



Case: BPM Maturity Assessment in Insurance

Critical Success Factor	Implementation Stages			
	<i>Foundation</i>	<i>Capability</i>	<i>Business Architecture</i>	<i>The Last Mile</i>
Strategic Alignment	Level 1	Level 1	Level 2 <i>Drive synergies</i>	Level 3-4 <i>Group-wide approach</i>
Governance	Level 1	Level 1	Level 2 <i>IT-wide approach</i>	Level 3-4 <i>Group-wide approach</i>
Methods	Level 2 <i>Workshop and observation methods</i>	Level 3 <i>Integrate into System Dev Lifecycle</i>	Level 4 <i>Integrate into Enterprise Architecture</i>	Level 5 <i>Integrate into Service Architecture</i>
Information Technology	Level 2 <i>ARIS for modeling</i>	Level 3 <i>ARIS for simulation and analytics</i>	Level 4 <i>Link to Enterprise Architect</i>	Level 5 <i>Link with Enterprise Service Bus and BPMS</i>
People	Level 1 <i>Establish BPM Team</i>	Level 2 <i>Extend into App Dev Team</i>	Level 3 <i>Integrate into Ent Arch Team</i>	Level 4 <i>Whole organization</i>
Culture	Level 1 <i>Basic process awareness</i>	Level 2 <i>Integrate into IT culture</i>	Level 3 <i>Become part of Enterprise planning</i>	Level 4 <i>Integrate into org culture</i>

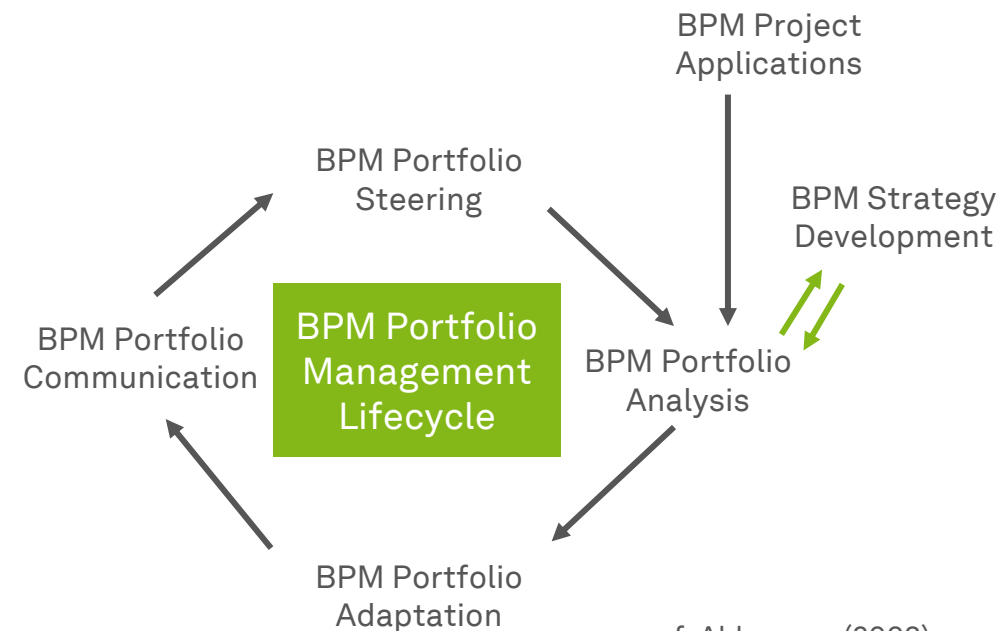
Application focus

Service focus

- Assessment is framed in the context of a **BPM roadmap**, which describes desired levels of maturity over time
- The company in this example follows the **orange** pattern
 - Driver for BPM is methods and IT, rather than strategy

Portfolio Management in BPM Programs

- Goal is the **planning and control of all BPM projects and programs**
- Totality of all stand-alone projects of a strategic business unit grouped into programs
- BPM portfolio management
 - ... pursues the **strategic corporate objectives**
 - ... **evaluates and prioritizes** the BPM projects
 - ... **ensures** the efficient use of resources
 - ... **plans and controls** the projects in a portfolio



cf. Ahlemann (2003)

BPM Project Portfolio Matrix

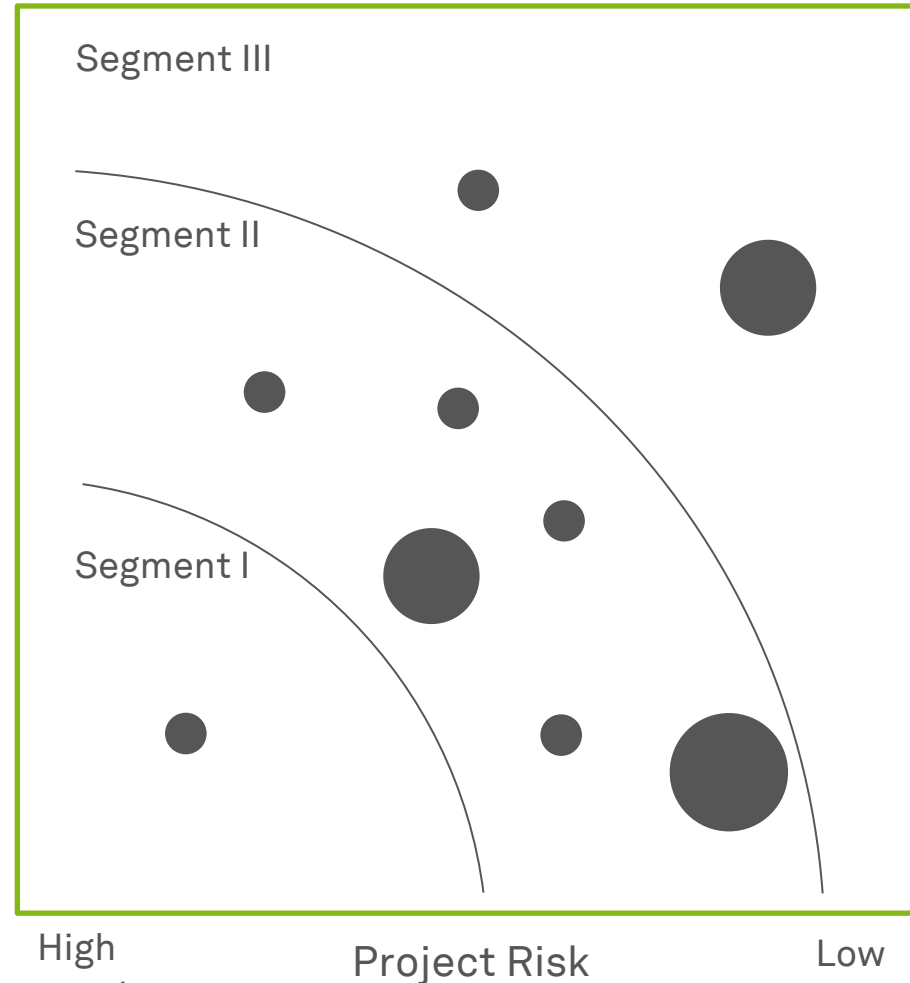
Segment II encompasses those projects with mid-utility or mid-risk, which require prioritization as they typically fight for resources to be approved

Segment I indicates high risk, low utility projects, which may never see the light of day

High

Project Utility

Low



Segment III contains high utility and/or low risk projects, which will be approved first

Circle size can be used as a 3rd dimension (e.g., alignment with corporate strategy)

Ten Principles of Good BPM

1. Principle of Context Awareness

- BPM is not a cookbook

2. Principle of Continuity

- BPM is not a one-off project

3. Principle of Enablement

- BPM is not be limited to firefighting

4. Principle of Holism

- BPM does not have an isolated focus

5. Principle of Institutionalization

- BPM is not an ad hoc responsibility

6. Principle of Involvement

- BPM does not neglect employee participation

7. Principle of Joint Understanding

- BPM is not only the language of experts

8. Principle of Purpose

- BPM is not an end in itself

9. Principle of Simplicity

- BPM should not be over-engineered

10. Principle of Technology Appropriation

- Technology management is not an afterthought

Dumas et al. (2018)

Learning Goals of Today

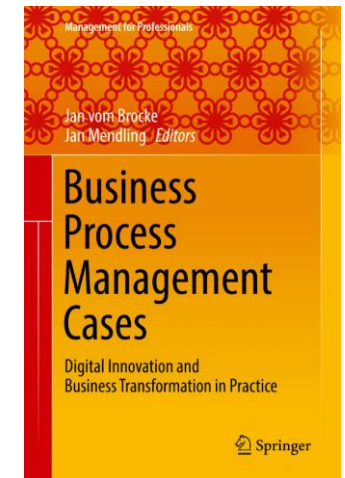
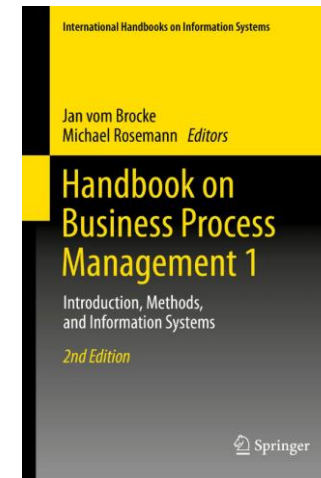
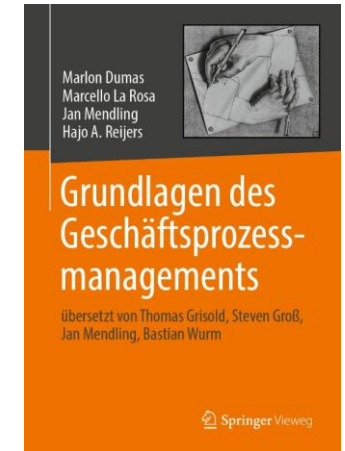
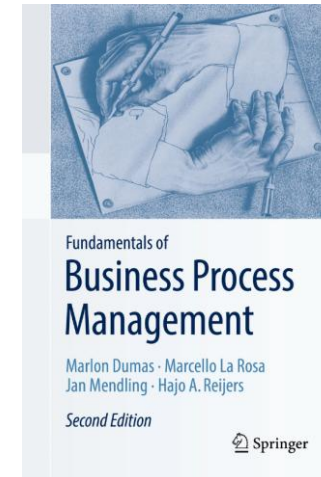
- Understand that BPM success is multifaceted
- Understand the factors of the Six Core Elements of BPM
- Understand (BPM) maturity models and assessment

Recap Questions

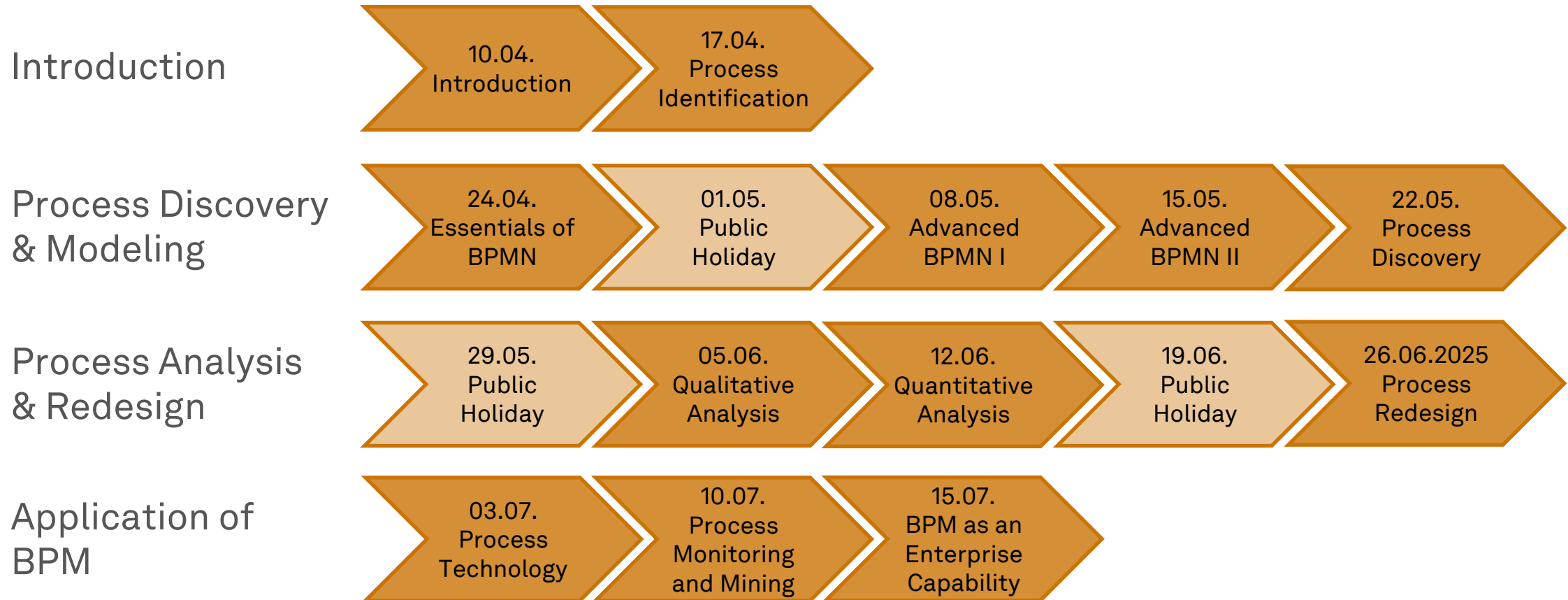
- What is the Six Core Factors of BPM framework for and what are the six factors about?
- Why are maturity models with respect to BPM necessary and how do they commonly look like?
- What is BPM project portfolio management and how can it be organized?

Literature

- **Section 12:** BPM as an Enterprise Capability
- **Section 5:** The Six Core Elements of Business Process Management



Roadmap



Any Questions about BPM as an Enterprise Capability?





ec.cs.tu-dortmund.de

